

Here's a quick update on the Minnesota energy bill.

Conference committee met all thru the weekend and this afternoon recommended a compromise bill, SF #722. The final bill should be voted on tonight before the legislature adjourns at midnight.

We won one of two issues we were focused on. The streamlining of transmission survived. The elimination of certificate of need did not.....it got wrapped up in the debate over a 10% renewable portfolio mandate by 2015. At the end of the horsetrading, the certificate of need fell victim to the enviros. Their RPS that they thought they had locked was reduced to setting goals of achieving a level of 10% of Minnesota supplies as renewables and requiring green pricing to be instituted. The enviros were then adamant that no power plants should be exempted from certificate of need.

The third issue that we were backing is still alive--it just got transfered over to the tax committee. The language to exempt new power plant personal property from taxes is still alive in both the House and the Senate, although the language in the Senate is much better. It appears that a tax bill and a budget bill will not be agreed to by adjournment, so government will shut down June 1 if action isn't taken. Jesse will call a special session next week and they will pass a tax bill before the June 1 date.

Lastly, there are two other provisions that we will benefit from---language on joint finance that will allow munis and coops to enter into projects that they may have felt they were unable to in the past. This may create some business opportunities for our ENA folks. The other provision was a pleasant surprise that I thought would end up on the cutting floor that survived--there will be rulemaking for interconnection standards for distributed generation of up to 10 MW.